IN THE NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI
COURT – IV

ITEM No.502
CP(CAA)50/ND/2020

IN THE MATTER OF:
Upfront Trading Pvt Ltd ... Applicant

Order under Section 230-232 of Companies Act, 2013.

Order pronounced on 30.10.2023

Coram:
Mr. P.S.N. PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open Court vide separate sheets.

CP(CAA)50/ND/2020 stands allowed.

Sd/- **Sd/-**

DR. BINOD KUMAR SINHA,
MEMBER (TECHNICAL)

P.S.N. PRASAD,
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI SPECIAL BENCH
COURT-IV
COMPANY PETITION (CAA) NO. 50/ND/2020
CONNECTED WITH
COMPANY APPLICATION (CAA) NO. 39/ND/2020

In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

In the matter of Scheme of Amalgamation

Amongst

Upfront Trading Private Limited
...Transferor Company No. 1/Petitioner Company No. 1

And

Greenbox Organics Private Limited
...Transferor Company No. 2/Petitioner Company No. 2

And

Craft Water Purification Private Limited
...Transferor Company No. 3/Petitioner Company No. 3

And

Illuminate Tradex Private Limited
...Transferor Company No. 4/Petitioner Company No. 4

And

Featured Marketing Private Limited
...Transferor Company No. 5 /Petitioner Company No. 5

And

Utmost IT Solution Private Limited
...Transferor Company No.6/Petitioner Company No. 6

And

Sony Financial Services Private Limited

...Transferee Company/Petitioner Company No. 7

And

Their respective shareholders and creditors

Order Delivered on: 30.10.2023

CORAM:
SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Mr. Vijay Kumar Gupta, CS
For the RD	: Ms. Shankari Mishra, Adv.
For the ITD	: Mr. Sanjay Kumar, Ms. Easha and Ms. Hemlata Rawat; Standing Counsels

ORDER

PER: DR. BINOD KUMAR SINHA, MEMBER (TECHNICAL)

1. This petition has been jointly filed by the petitioner companies herein namely M/s Upfront Trading Private Limited (Petitioner Company No. 1/Transferor Company No. 1), M/s Greenbox Organics Private Limited (Petitioner Company No. 2/Transferor Company No. 2), M/s Craft Water Purification Private Limited (Petitioner Company No. 3/Transferor Company No. 3), M/s Illuminate Tradex Private Limited (Petitioner Company No. 4/Transferor Company No. 4), M/s Featured Marketing Private Limited (Petitioner Company No. 5/Transferor Company No. 5), M/s Utmost IT Solution Private Limited (Petitioner Company No. 6/Transferor Company No. 6) and M/s Sony Financial Services Private Limited (Transferee Company/Petitioner Company No. 7) under section 230-232 of the Companies Act, 2013, read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016, ("Rules")

and the National Company Law Tribunal Rules, 2016, for the purpose of the sanction of the proposed Scheme of Amalgamation of the Transferor Companies with Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the ("Scheme"), has been placed on record.

2. The Petitioner Company No. 1/Transferor Company No. 1 i.e., M/s Upfront Trading Private Limited was incorporated under the Companies Act, 1956 on 29th March, 2007 bearing CIN: U51101DL2007PTC161342 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company No. 1 is Rs. 85,00,000/- and the Paid-up Share Capital of the Transferor Company No. 1 is Rs. 84,06,000/-.

3. The Petitioner Company No. 2/Transferor Company No. 2 i.e., M/s Greenbox Organics Private Limited was incorporated under the Companies Act, 1956 on 08th December, 1992 bearing CIN: U74899DL1992PTC051265 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company No. 2 is Rs. 1,45,00,000/- and the Paid-up Share Capital of the Transferor Company No. 2 is Rs. 1,44,10,530/-.

4. The Petitioner Company No. 3/Transferor Company No. 3 i.e., M/s Craft Purification Private Limited was incorporated under the Companies Act, 1956 on 19th August, 1998 bearing CIN:

U29219DL1998PTC095661 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company No. 3 is Rs. 1,30,00,000/- and the Paid-up Share Capital of the Transferor Company No. 3 is Rs. 1,26,65,000/-.

5. The Petitioner Company No. 4/Transferor Company No. 4 i.e., M/s Illuminate Tradex Private Limited was incorporated under the Companies Act, 1956 on 4th April, 2007 bearing CIN: U17291DL2007PTC161668 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company No. 4 is Rs. 85,00,000/- and the Paid-up Share Capital of the Transferor Company No. 4 is Rs. 73,93,500/-.
6. The Petitioner Company No. 5/Transferor Company No. 5 i.e., M/s Featured Marketing Private Limited was incorporated on 29th March, 2007 under the Companies Act, 1956 on bearing CIN: U51101DL2007PTC161314 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company No. 5 is Rs. 90,00,000/- and the Paid-up Share Capital of the Transferor Company No. 5 is Rs. 85,26,240/-.
7. The Petitioner Company No. 6/Transferor Company No. 6 i.e., M/s Utmost IT Solution Private Limited was incorporated on 29th January, 2007 under the Companies Act, 1956 bearing CIN:

U72900DL2007PTC158473 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company No. 6 is Rs. 90,00,000/- and the Paid-up Share Capital of the Transferor Company No. 6 is Rs. 87,31,600/-.

8. The Petitioner Company No. 7/Transferee Company i.e., M/s Sony Financial Services Private Limited was incorporated on 9th May, 1995 under the Companies Act, 1956 bearing CIN: U74899DL1995PTC068362 having its registered office at C-6 Shop No-1 Basement, Madhu Vihar, New Delhi-110092. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferee Company is Rs. 95,00,000/- and the Paid-up Share Capital of the Transferee Company is Rs. 90,93,680/-.

9. The Petitioner Companies submit that the rationale for the scheme of amalgamation between the Transferor Companies and Transferee Company would have the following benefits: -

   i. The proposed amalgamation would enable pooling of resources and infrastructure of the entities to their common advantage, resulting in a more productive utilization of the resources, costs and operational efficiencies, faster and effective decision making and its implementation, which would be beneficial for all stakeholders.

ii. Integrate, rationalize and streamline the management and administrative structure of the merged business and achieve cost saving.

iii. Avoid duplication of regulatory compliances and statutory filings with various government departments.

iv. Greater efficiency in cash management of the Transferee entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

v. Facilitate inter transfer of resources and costs and optimum utilization of Assets.

vi. Synchronizing of efforts to achieve uniform corporate policy.

vii. To reflect the consolidated net worth of these companies in one balance sheet.

10. The Appointed Date as fixed for the proposed scheme of Amalgamation is 1st April, 2019 or such other date as may be directed by the National Company Law Tribunal. Further, the Petitioner Companies have filed IA/218/ND/2023 for seeking the approval of this Tribunal for change of appointed date from 01.04.2019 to 01st April, 2022 in the second motion petition. The application i.e., IA/218/ND/2023 stands allowed vide order dated 04.07.2023 and accordingly the appointed date is changed to 01.04.2022.

11. From the record, it is seen that the First Motion joint applications was filed before this Tribunal vide CA(CAA)39(ND)OF2020. Vide order dated 22.05.2020, the meeting of Equity Shareholders of all the Petitioner Companies and unsecured creditors of the Petitioner Company No. 1, 3 and 7 was dispensed with, as the consent affidavits had been placed on record. There are no Secured Creditors in any of the Petitioner Companies and there are no Unsecured Creditors of the Petitioner Company No. 2, 4, 5 and 6. Therefore, the requirement of convening the meetings of creditors did not rise.

12. In the present second motion petition, vide order dated 20.10.2020, the Tribunal directed the Petitioner Companies to publish notice of the hearing of the main Company Petition in two newspapers namely, "Business Standard" (English, Delhi Edition) and "Jansatta" (Hindi Delhi Edition) and in addition to the public notice, directed to issue notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Registrar of Companies NCT of Delhi and Haryana, (iii) Income Tax Department, (iv) Official Liquidator, (v) Reserve Bank of India and (vi) any such other sectoral regulatory authorities.

13. In compliance with the order dated 20.10.2020, the petitioner companies have filed an Affidavit of compliance on 26.11.2020 affirming and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi Edition) and "Jansatta" (Hindi Delhi Edition) both dated on 25.11.2020. In addition to the public

notice, notices were served on the Regional Director (Northern Region), Official Liquidator, Registrar of Companies, NCT of Delhi and Haryana, Reserve Bank of India and Income Tax Department through the Income Tax Cell at DCIT (High Court Cell). Further, in affidavit the petitioner companies stated that NOC(s) in the form of affidavits as required under section 230(9) of the Companies Act, 2013 for the proposed amalgamation had been obtained from all the shareholders and the creditors. Thus, there are nil objector(s) or their representative(s) as contemplated under section 230(4) who have made representation or have desired to be heard in their representation and therefore the requirement of sending of notices was not applicable.

14. Pursuant to the notice issued to the Regional Director, Income Tax Department, and Official Liquidator they have filed their response/reply in the matter.

15. The Regional Director (RD) in its report affidavit dated 03.03.2021 has made certain observations regarding the proposed scheme of Amalgamation among the Petitioner Companies. In response to the same, the Petitioner Companies had filed reply dated 17.03.2021 wherein the Petitioner Companies gave clarification to the observations made by the Regional Director. The details of the same are given below:

Observation	Observation by the Regional Director vide affidavit dated 03.03.2021	Reply by the Petitioner Companies dated 17.03.2021

<table>
<tr><td>1.</td><td>Refer to Clause-16 of the Scheme, the Transferee Company shall comply with Section 232(3)(i) of the Companies Act, 2013 and pay the difference fee on consolidated authorized share capital of Transferee Company, after setting off the fee already paid by the Transferor Companies on their respective capital.</td><td>In clause 16 of the Scheme the difference fee on consolidated authorized share capital after setting off the fees already paid by the Transferor Companies on their respective Capital shall be paid consequent to the approval of the amalgamation by the Hon'ble NCLT and it shall be paid along with filing of the Final Merger order with the Registrar of Companies in Form INC-28.</td></tr>
<tr><td>2.</td><td>The Transferee Company is an NBFC Company, however, NOC from RBI in regard to approval of proposed scheme is not found enclosed with the petition.</td><td>We are following up with the Reserve Bank of India in this regard. The NOC from RBI is in the process of being issued. Also, we have specifically informed the Hon'ble NCLT the NOC from RBI is pending and will be submitted as and when it is received.</td></tr>
<tr><td>3.</td><td>As per MCA-21 records, all the Transferor Companies have not any business operation since incorporation. However, all these companies collected huge amount by way of security premium by issuing shares to some West Bengal and Delhi based entities and deployed the same in loan and advance. The details of these funds are as under:
<table>
<tr><td>Name of Company</td><td>Amount collected through Security Premium</td><td>Amount deployed as Unsecured Loan</td></tr>
<tr><td>Transferor Company No. 1</td><td>13,28,44,000/-</td><td>13,76,39,889/-</td></tr>
<tr><td>Transferor Company No. 2</td><td>14,51,35,500/-</td><td>16,06,05,435/-</td></tr>
<tr><td>Transferor Company No. 3</td><td>13,44,35,000/-</td><td>14,42,91,084/-</td></tr>
</table></td><td>The companies are doing business since incorporation and issued shares at premium upto the year 2012 as per the provisions of the Companies Act, 1956 and followed due process of law. Furthermore, no Income Tax assessment is pending as on date and specifically for the years in which the shares were issued at premium.</td></tr>
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	Transferor Company No. 4	13,00,06,500/-	13,82,72,947/-	
	Transferor Company No. 5	08,63,84,760/-	08,92,96,124	
	Transferor Company No. 6	14,29,08,400/-	15,03,74,289/-	
	Transferee Company	13,48,32,320/-	14,27,02,588/-	
	Total	**90,65,46,480/-**	**96,31,82,356/-**	
	From the above, it is observed that the Petitioner Companies have collected an amount of Rs. 90,65,46,480/- by way of issuing shares on huge premium and deployed the same as unsecured loan. Hence, all these Transferor companies appear shell companies were incorporated for diversion of funds.			
4.	As per respective note of Long-Term Loan & Advances, the Petitioner Companies have not disclosed nature of such loan & advances which is contrary to Schedule-III of the Companies Act, 2013.			The Companies have also submitted the details of Long of term Loans and Advances to the Hon'ble RD Office with the previous reply on 21.01.2021.

16. Pursuant to the directions of this Tribunal vide its order dated 11.04.2023 wherein this Tribunal, inter-alia, directed the Regional Director to file an additional affidavit to clarify the observation raised in earlier affidavit, after considering the replies filed by the Petitioner Companies an additional affidavit dated 01.06.2023 has been filed by the Regional Director wherein, no new observations/objections have been raised.

17. The Petitioner Companies have placed on record the non-objection certificate for the proposed scheme of amalgamation dated 15.06.2022

given by the Reserve Bank of India ('RBI'), through affidavit dated 18.06.2022.

18. The Income Tax Officer, Ward-9(1), New Delhi in its report dated 07.12.2020 in respect of Transferor Company No. 5 i.e., M/s Featured Marketing Private Limited stated as below: -

i) Alphabetical Jurisdiction of the case M/s Featured Marketing Private Limited having PAN (AAKCS9248P) pertains to this charge.
ii) As per system there is no demand outstanding against the company.
iii) The assessee has been filing its ITR regularly from 2007-08 to 2019-20.

It is submitted that this office does not have any objection to the scheme of amalgamation as far as the company M/s Featured Marketing Private Limited (PAN: AAKCS9248P), assessed in this charge is concerned, as long as the scheme operates in accordance with the provisions of Income Tax act, 1961.

19. The Income Tax Department in its report affidavit dated 17.12.2020 with respect to Transferee Company i.e., M/s Sony Financial Services Limited stated as follows: -

a) That the company has PAN: AADCS3982K and has filed its Income Tax Returns upto A.Y. 2019-20.

b) That the company has no appeal or investigation/ enquiry proceedings pending under the Income Tax Act, 1961.

c) That the company has not deposited any cash during post-demonetization period.

d) That a demand of Rs.7,40,607/- is outstanding against the Transferee Company.

20. It is noticed that despite several opportunities, no comments were received from the Income Tax Department except for the two

companies i.e., Transferor Company No. 5 and Transferee Company and a further chance was given to the Income Tax Department to file their respective report in respect of remaining companies vide order dated 13.06.2023. As per the provisions of Section 230(5) of the Companies Act, 2013, on the expiry of 30 days from the date of the notice, it may be presumed that the Income Tax Department does not have any comments on the proposed scheme of amalgamation.

21. The Petitioner Companies have filed an affidavit cum undertaking dated 15.07.2022 wherein it is stated that all liabilities on account of Income Tax of whatsoever kind, nature and description and including those that arise on account the amalgamation and in pursuance of the Second Motion Merger Petition filed by the Applicant Companies shall be taken care of by the Transferee Company and same is also mentioned in Clause 5.2 of the Approved Scheme of Amalgamation filed before the National Company Law Tribunal.

22. The Official Liquidator filed its report dated 19.01.2021 wherein it is stated that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 1956/ the Companies Act, 2013 whichever is applicable.

23. Vide order dated 27.09.2023, this Tribunal directed the Petitioner Companies to take steps for filing an affidavit in compliance to Section 230(2) of Companies Act, 2013. In compliance of order dated

27.09.2023, the petitioner companies have filed their respective affidavits dated 05.10.2023 stating that there is no pendency of any investigation or proceedings against the company and all material facts relating to the company, such as the latest financial position of the company, the latest auditor's report on the accounts of the company as disclosed in the Application are correct.

24. Certificates of Statutory auditor of the petitioner companies, have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

25. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends. Therefore, their decisions are not supposed to be interfered with by the Tribunal for the reason that it is not proper on the part of the judicial function of the Tribunal to examine and evaluate entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will do not ordinarily go into

the merits of the corporate decisions of companies as approved by their respective shareholders and creditors.

26. It has also been affirmed in the petition that no one will be prejudiced if the proposed Scheme of Amalgamation is sanctioned and the sanction of the said Scheme will benefit all and is in the interest of the Transferor Companies and the Transferee Company, their Shareholders, Creditors, Employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and subsequent undertakings given vide affidavits placed on record, there being no serious challenge to the Scheme by any statutory Authority and positive NOC by the sectoral Regulator RBI, there appears to be no impediment in sanctioning the present Scheme.

27. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    i. The Petitioners shall always remain bound to comply with the statutory requirements in accordance with law.

    ii. Notwithstanding the sanction, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

28. This Tribunal further directs with respect to both the Transferor Company and the Transferee company, that: -

i. The appointed date of the proposed scheme of amalgamation is 01.04.2022 in accordance with the prayers made and allowed in the application bearing IA/218/ND/2023 for changing the appointed date from 01.04.2019 to 01.04.2022 in the proposed scheme of amalgamation vide order of this Tribunal dated 04.07.2023.

ii. Upon the sanction becoming effective from the appointed date i.e., 01.04.2022, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

iii. All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

iv. All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

v. All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

vi. All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

vii. Any person interested or affected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary within 10 working days from the date of this order.

29. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

30. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

31. The petition stands disposed of in the above terms.

32. Let copy of the order be served to the parties.

Sd/-
DR. BINOD KUMAR SINHA
MEMBER (TECHNICAL)

Sd/-
P.S.N. PRASAD
MEMBER (JUDICIAL)